f) Lack of robust legal and regulatory framework: The legal and regulatory framework have an impact on the financial stability of the various financial institutions. Lack of a robust legal and regulatory framework can lead to high risk in the financial system, and impose a threat on the financial stability as it fails to mitigate the impact of any kind of risk like financial crisis risk, global risk, liquidity risk etc.

g) **Global factors:** Global factors like international trade relations and agreements, global economic trends, geopolitical events, etc. can significantly impact the financial stability of the financial system of a country. For instance, a global recession or a trade war between major economies can impact the financial stability of a country, like the war between Russia and Ukraine has an impact on the financial stability of the respective countries and their major trading partners.

We can conclude that financial stability is affected by many factors and if a country has a robust framework for regulating the financial system the impact of the above discussed factors may be reduced to a greater extent.

Check Your Progress 1

1) Define Financial Stability.

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2) Bring out the factors that affect the financial stability of an economy.

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3) Give an example of any global financial crisis that has an impact on the financial stability of India.

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26.4 ISSUES IN FINANCIAL STABILITY

There could be several issues that can arise in maintaining financial stability. These issues are:

a) **Systemic risk:** Systemic risk refers to the risk that imposes a barrier in the efficient financial system that can have a severe impact on the entire economy of a country. There can be various sources of systemic risk like interconnections and interdependence between the financial institutions and markets, and the contagion effects that begin from the failure of one institution and engulf the entire institutions or markets resulting in widespread financial crisis. Systemic risk impacts financial stability in many ways as it can lead to the collapse of financial institutions and markets, can also result in a loss of confidence in the financial system and can also lead to a contagion effect.

b) **Shadow banking**: Shadow banking refers to a system where the provision of credit and related financial services are done by entities that are not regulated, unlike banks. In the absence of a robust regulatory framework, such entities engage themselves in risky lending practices which increases the risk of default and can lead to systemic risk. There are various risks associated with shadow banking like it may build up systemic risk as it is not completely regulated and therefore it lacks accountability and may create difficulties in the financial system. Shadow banking can also lead to financial instability in the absence of any review mechanism.

c) **Cyber-security**: Technology offers both benefits and limitations to any system as is the case with the financial system. Cyber-security threats like cyber attacks can pose a significant risk to the financial stability of any economy. Financial institutions like banks, non-banking financial institutions, investment firms, and payment systems, are the prime target for cybercriminals. Cyber-security threats can adversely impact financial stability in various ways like disrupting the flow of funds between financial institutions, through illegal access of sensitive financial information and using such information to engage in fraudulent activities like money laundering, unauthorized transactions etc. All this ultimately results in losing the confidence of the public in the financial system which can further result in a financial crisis. Therefore, it becomes very important to have a robust system of cyber-laws to deal with such kinds of cyber-attacks.

d) **International spill-ins and spill-outs:** The international interconnections of financial markets can lead to international spillovers. Financial instability in one country has an impact on the other country which means that any financial disruption or financial shocks of one country can easily and quickly spread and affect the financial stability of the other country. All this may may result in a loss of confidence in financial markets and institutions, currency depreciation, asset price volatility etc. This could also result in increasing the threat of systemic risks besides exposing the economy to other vulnerabilities.

e) **Too-big-to-fail:** This means that some financial institutions are so large that their failure could have a catastrophic impact on the economy. This perception of too-big-to-fail can result in moral hazard as these financial institutions are guaranteed by the government or RBI and therefore, they take excessive risks since they know that they will not be allowed to fail. Such institutions also erode the confidence of the general public as the public believes that these institutions are above the law and that their money (taxes) is being used to protect these institutions against failure.

Financial stability can only be maintained through a comprehensive and proactive approach of various parties like policymakers, regulators, and market participants. These participants must take the above issues in mind while planning for financial stability.

26.5 CHALLENGES IN FINANCIAL STABILITY

Planning financial stability is not an easy task for policymakers, regulatory bodies or market participants and several challenges exist in maintaining financial stability. These challenges are:

a) **Highly Complex**: The financial system of India is increasingly becoming complex and has a wide range of financial instruments and institutions. Because of this complexity, the financial system is exposed to various types of risks like liquidity risk, credit risk, systemic risk etc. These risks impose a threat to the financial stability of the financial system of our country.

b) **Rising Prices**: India has witnessed high inflation which can be a major threat to its financial stability. Inflation beyond a controllable limit can hurt the economy as it reduces the purchasing power of individuals, reduces the value of savings, and increases the cost of borrowing, which in turn discourages investments, and production and ultimately hurts the economy.

c) **Fiscal deficit**: Fiscal deficit arises when the spending by the government exceeds its earnings. Such a situation leads to public debt and puts pressure on the government to increase taxes and cut spending. All this leads to a negative impact on the economy.

d) **Growing Non-performing Assets** (NPAs): NPAs may be referred to as bad loans or loans that have not been repaid. Several banks in India are suffering from the problem of growing NPAs which may result in a liquidity crisis and can be a major threat to the financial stability as such bad loans reduce the profitability of financial institutions.

e) **Organizational Deficiencies**: Several structural challenges also exist in the country that impose challenges on financial stability. These organizational deficiencies arise due to the existence of a large informal sector, weak infrastructure, and the absence of a robust regulatory framework. Such factors make it difficult for the central bank and the government to effectively regulate and guard economic activities, which can be a threat to financial stability.

f) **Outside influences**: Several external factors also make India vulnerable to managing financial stability. These outside influences can be changes in global commodity prices, fluctuations in exchange rates, shifts in global economic conditions etc. Such factors can have a bearing on a country's trade and investment flows, which can have a ripple effect on the economy.

g) **Unequal access to information**: This refers to a situation where one party in a transaction has more information than the other party. This leads to adverse selection and moral hazard, where the party with less information ends up making a poor decision involving excessive risk. Such a situation is challenging and leads to distrust or lack of confidence in the parties having less information and may lead to financial instability.

h) **Behavioural biases**: Behavioural biases like herd behaviour and overconfidence end up in an investor making a decision that involves excessive risk and contributes to financial instability. These biases are difficult to predict and rationalize, as they are deeply rooted in individual and group psychology.

The objective of financial stability can be achieved through a comprehensive and coordinated approach that requires a deep understanding of the various components of the financial system and the economy in general and by identifying the various types of risks in particular and developing a system of robust regulatory framework.

Check Your Progress 2

1) Explain the major issues in financial stability.

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2) Discuss the various challenges related to financial stability.

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3) How a country like India can achieve financial stability?

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26.6 RISKS AND FINANCIAL INSTABILITY

Various types of risks that may trigger financial instability are:

a) **Cyber-security threats** can adversely impact financial stability in various ways like disrupting the flow of funds between financial institutions, through illegal access to sensitive financial information and using such information to engage in fraudulent activities like money laundering, unauthorized transactions etc. All this ultimately results in losing the confidence of the public in the financial system which can further result in a financial crisis. Therefore, it becomes very important to have a robust system of cyber-laws to deal with such kinds of cyber-attacks.

b) **Systemic risk** refers to the risk that imposes a barrier in the efficient financial system that can have a severe impact on the entire economy of a country. There can be various sources of systemic risk like interconnections and interdependence between the financial institutions and markets, and the contagion effects that begin from the failure of one institution and engulf the entire institutions or markets resulting in widespread financial crisis. Systemic risk impacts financial stability in many ways as it can lead to the collapse of financial institutions and markets, can also result in a loss of confidence in the financial system and can also lead to a contagion effect.

c) **Credit risk**: Credit risk arises when the borrower fails to meet its financial obligations in time, or it may be defined as when a borrower defaults on a loan. To control such kind of risk various techniques are employed like checking the credibility score of the prospective borrower before lending credit or asking for collateral etc. By applying such kind of techniques, the risk of default may be minimized and financial stability may be ensured.

d) **Market risk**: It refers to the risk that arises due to volatility in the financial market. Market rest triggers the risk of loss arising from changes in market price like asset price bubbles. To reduce the impact of the market risk and ensure financial stability in a country, the Reserve Bank of India and the various regulatory bodies apply tools like setting interest rates, regulating the activities of the Financial Institutions and implementing the macro-prudential policy.

e) **Operational risk**: It may arise due to the lack of a strong internal system of an institution due to which problems like fraud, errors or technical failures may trigger. To minimize the impact of operational risk various tools like risk management framework, internal control system and regulatory supervision techniques are adopted.

f) **Liquidity risk**: It is a risk that arises from a shortage of liquid funds that are required to meet the financial obligation as and when they arise to manage the liquidity risk and ensure financial stability the Institutions apply various methods like maintaining adequate capital and liquidity reserves, implementing liquidity risk management etc.

g) **Interest rate risk**: It refers to the risk that arises due to changes in the interest rates which have a bearing on the value of financial instruments and have an impact on the profitability of the financial institution. Interest rate risk can be minimized by applying various tools like stress testing, interest rates, risk management framework etc.

h) **Political risk**: It refers to the risk that arises due to political events or actions like changes in government policy, geopolitical tensions, etc. Political risk hurts financial stability as it results in the loss of investors' confidence and can lead to regulatory changes to minimize political unrest. The various tools that may be applied are diversifying the geographic exposure, implementing a proper risk management framework etc.

26.7 STABILITY MEASURES FOR ENSURING FINANCIAL STABILITY

Various ways can help in achieving the objective of financial stability:

a) **Robust regulatory framework**: A robust regulatory framework is an essential requirement for ensuring financial stability. A country requires regulations that promote fairness and transparency, accountability and risk management leading to a sound financial system.

b) **Macro-prudential policies**: Macro-prudential policies help prevent systemic risk thereby resulting in financial stability. These policies include measures such as counter-cyclical capital buffers, reserve requirements, loan-to-value ratios etc.

c) **Supervision and monitoring**: Through regular supervision and monitoring of financial institutions and keeping a check on the financial health of the institutions financial stability in the system can be promoted. Supervision and monitoring help in identifying whether the institutions are complying with the rules and regulations or not.

d) **Crisis management framework**: It refers to a framework that consists of a set of policies and procedures that an institution may apply to manage and respond to a crisis. A crisis management framework is essential to ensure that financial crises are managed effectively.

e) **Global cooperation**: Financial stability is a global issue, and therefore global cooperation is essential to ensure the stability of the financial system. Global cooperation includes cooperation between all global regulators, central banks of all countries and other global organizations to coordinate policy formulation and share information on different financial aspects.

Financial stability ensures the smooth functioning of the entire financial system which is very important for the growth of the company.

Check Your Progress 3

1) What are the various measures that may be adopted to ensure stability in the financial system?

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2) Explain the various types of risks to the financial stability of a country and how the same can be controlled.

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26.8 FINANCIAL STABILITY AND DEVELOPMENT COUNCIL

Established in December 2010 by the Government, the Financial Stability and Development Council (FSDC) serves as the apex forum to strengthen mechanisms for upholding financial stability, reinforcing inter-regulatory coordination, and fostering the development of the financial sector. Chaired by the Union Finance Minister, its esteemed members comprise the Governor of the Reserve Bank of India, the Finance Secretary and/or Secretary of the Department of Economic Affairs, the Secretary of the Department of Financial Services, the Chief Economic Adviser of the Ministry of Finance, the Chairperson of the Securities and Exchange Board of India (SEBI), the Chairperson of the Insurance Regulatory and Development Authority (IRDA), and the Chairperson of the Pension Fund Regulatory and Development Authority (PFRDA).

The Council's purview encompasses the macro-prudential supervision of the economy, including the oversight of large financial conglomerates, and the resolution of inter-regulatory coordination and financial sector development matters. It also prioritizes initiatives concerning financial literacy and inclusion.

Furthermore, an FSDC Sub-committee, chaired by the Governor of the RBI, convenes more frequently than the full Council. All members of the FSDC also hold membership in the Sub-committee, alongside the four Deputy Governors of the RBI and the Additional Secretary of the DEA responsible for FSDC affairs. The Member Secretary of the Sub-committee is the Executive Director of the RBI, overseeing financial stability, with the Financial Stability Unit (FSU) of the RBI serving as the Secretariat for the Sub-committee.

26.9 FINANCIAL STABILITY REPORT

The Financial Stability Report (FSR) is a biannual report issued by the Reserve Bank of India (RBI). This report presents the consolidated evaluation of the Sub-Committee of the Financial Stability and Development Council (FSDC) regarding the risks to financial stability and the robustness of the financial system.

Here are the two latest Financial Stability Reports as released on 28th December 2023 and 28th June 2023 (source: rbi.org.in)

Highlights of Report released in December 2023

The global economy confronts a multitude of challenges, including the prospect of decelerating growth, substantial public debt burdens, escalating economic fragmentation, and persistent geopolitical tensions. However, the Indian economy and its domestic financial system demonstrate resilience, underpinned by robust macroeconomic fundamentals, sound financial institution balance sheets, moderating inflation trends, an improving external trade position, and ongoing fiscal consolidation efforts.

As of September 2023, scheduled commercial banks (SCBs) reported a Capital Risk-Weighted Assets Ratio (CRAR) of 16.8% and a Common Equity Tier 1 (CET1) ratio of 13.7%. Additionally, SCBs witnessed a decline in their gross non-performing assets (GNPA) ratio to a multi-year low of 3.2%, with the net non-performing assets (NNPA) ratio reaching 0.8%.

Macro stress tests for credit risk indicate that SCBs are anticipated to maintain compliance with minimum capital requirements. System-level CRAR projections for September 2024 stand at 14.8%, 13.5%, and 12.2%, respectively, under baseline, medium, and severe stress scenarios.

Furthermore, the non-banking financial companies (NBFCs) sector exhibits enhanced resilience, with a CRAR of 27.6%, a GNPA ratio of 4.6%, and a return on assets (ROA) of 2.9%, as recorded in September 2023.

Highlights of Report released in June 2023

Amidst heightened uncertainty globally due to banking system vulnerabilities in certain nations, ongoing geopolitical tensions, and moderating but elevated inflation, the global economy faces challenges.

Nevertheless, the Indian economy and its domestic financial system exhibit resilience, supported by robust macroeconomic fundamentals. Sustained growth momentum, decreasing inflation, a narrower current account deficit, escalating foreign exchange reserves, ongoing fiscal consolidation, and a sturdy financial system collectively propel the economy towards sustained growth.

Healthy balance sheets of both banks and corporations are fostering a new cycle of credit and investment, enhancing the outlook for the Indian economy.

As of March 2023, scheduled commercial banks (SCBs) achieved historical highs in their Capital Risk-Weighted Assets Ratio (CRAR) at 17.1% and Common Equity Tier 1 (CET1) ratio at 13.9%. Additionally, SCBs witnessed a decline in their gross non-performing assets (GNPA) ratio to a 10-year low of 3.9%, with the net non-performing assets (NNPA) ratio decreasing to 1.0%.

Macro stress tests indicate the ability of SCBs to meet minimum capital requirements even under severe stress scenarios. Projections for the system-level CRAR in March 2024, under baseline, medium, and severe stress scenarios, stand at 16.1%, 14.7%, and 13.3%, respectively.

Highlights of Report released in June 2024

The Reserve Bank released the 29th issue of the Financial Stability Report (FSR) on june 27,2024, which reflects the collective assessment of the Sub-Committee of the Financial Stability and Development Council (FSDC) on the resilience of the Indian financial system and risks to financial stability.

- The global economy is facing heightened risks from prolonged geopolitical tensions, elevated public debt, and the slow progress in the last mile of disinflation. Despite these challenges, the global financial system has remained resilient, and financial conditions stable.
- The Indian economy and the financial system remain robust and resilient, anchored by macroeconomic and financial stability. With improved balance sheets, banks and financial institutions are supporting economic activity through sustained credit expansion.
- The capital to risk-weighted assets ratio (CRAR) and the common equity tier 1 (CET1) ratio of scheduled commercial banks (SCBs) stood at 16.8 per cent and 13.9 per cent, respectively, at end-March 2024.
- Scheduled Commercial Banks (SCBs)' gross non-performing assets (GNPA) ratio fell to a multi-year low of 2.8 per cent and the net non-performing assets (NNPA) ratio to 0.6 per cent at end-March 2024.

- Macro stress tests for credit risk reveal that SCBs would be able to comply with minimum capital requirements, with the system-level CRAR in March 2025 projected at 16.1 per cent, 14.4 per cent and 13.0 per cent, respectively, under baseline, medium and severe stress scenarios. These scenarios are stringent conservative assessments under hypothetical shocks and the results should not be interpreted as forecasts.
- Non-banking financial companies (NBFCs) remain healthy, with CRAR at 26.6 per cent, GNPA ratio at 4.0 per cent and return on assets (RoA) at 3.3 per cent, respectively, at end-March 2024.

Check Your Progress 4

1) What is FSDC? Why is it formed?

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2) Mention the highlights of the Financial Stability Report published in December 2023.

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26.10 LET US SUM UP

This unit discussed about financial stability which is one of the important objectives of the Reserve Bank of India (RBI). A robust financial system forms the backbone of any nation, and thus, maintaining financial stability is extremely essential. The Reserve Bank of India closely monitors the financial health of key components such as banks and NBFCs, identifying potential risks or stress points. This vigilance allows for timely interventions to prevent any disruptions to the financial system, thereby safeguarding financial stability and fostering sustained economic growth. Different factors affecting financial stability include macroeconomic factors, default risk factor, unexpected change in asset prices factor, operational risk factor, liquidity risk factor and lack of robust legal and regulatory framework. There could be several issues that can arise in maintaining financial stability. Some of them are systemic risk, shadow banking, cyber-security, international spill-ins and spill-outs etc. The objective of financial stability can be achieved through a comprehensive and coordinated approach that requires a deep understanding of the various components of the financial system and the economy in general and by identifying the various types of risks in particular and developing a system of robust regulatory framework.

26.11 KEY WORDS

Credit Risk	:	It is the probability of a financial loss resulting from a borrower's failure to repay a loan.
Liquidity Risk	:	Liquidity risk is the risk that a company or an individual will not have enough cash to meet its financial obligations (pay its debts) on time.
Foreign Exchange Risk	:	Foreign exchange rate risk is the risk of financial impact due to exchange rate fluctuations.
Market Risk	:	Market risk is the possibility that an individual or other entity will experience losses due to factors that affect the overall performance of investments in the financial markets.
Financial Stability	:	Financial stability is defined as "a condition in which the financial system is not unstable".
Systemic Risk	:	Systematic risk refers to the risk inherent to the entire market or market segment due to a certain event. Examples include natural disasters, changes in inflation rate, war, etc.
NBFCs	:	Non-banking financial companies (NBFCs), also known as non-banking financial institutions (NBFIs), are financial institutions that offer various banking services but do not have a banking license.
Micro-prudential norms	:	Micro-prudential regulation focuses on the stability of individual banking institutions and the protection of their customers rather than the economy as a whole.
Operational Risk	:	Operational risk summarizes the uncertainties and hazards a company faces when it attempts to do its day-to-day business activities within a given field or industry.

26.12 SOME USEFUL BOOKS

Ramlall, I (2018), *Understanding Financial Stability,* Emerald Publishing

Moenjak, Thammark (2014), *Central Banking: Theory and Practice in Sustaining Monetary and Financial Stability*, Wiley Publication, 1st Edition.

26.13 ANSWERS/ HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) Financial stability refers to a financial system that is resilient to any shock or disruptions. The financial system consists of financial

institutions like banks, non-banking financial institutions, financial markets, and financial instruments.

2) Macroeconomic factors, default risk factors, unexpected changes in asset prices factor, operational risk factors, liquidity risk factors, lack of robust legal and regulatory framework, and global factors.

3) War between Russia and Ukraine

Check Your Progress 2

1) Systemic risk, shadow banking, cyber-security, international spill-ins and spill-outs, too-big-to-fail.

2) Highly Complex, rising prices, fiscal deficit, growing non-performing assets, organizational deficiencies, outside influences, Unequal access to information, and Behavioural biases.

3) The objective of financial stability can be achieved through a comprehensive and coordinated approach that requires a deep understanding of the various components of the financial system and the economy in general and by identifying the various types of risks in particular and developing a system of robust regulatory framework.

Check Your Progress 3

1) Robust regulatory framework, macro-prudential policies, supervision and monitoring, crisis management framework, global cooperation.

2) Cyber-security threats, systemic risks, credit risks, market risks, operational risks, liquidity risks, Interest rate risks, Political risk

Check Your Progress 4

1) Established in December 2010 by the Government, the Financial Stability and Development Council (FSDC) serves as the apex forum to strengthen mechanisms for upholding financial stability, reinforcing inter-regulatory coordination, and fostering the development of the financial sector.

2) Refer to Section 26.9